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Q#1 Economies of scope refer to:

Options:

- A. Long run production function.
- B. Single product firm that utilize multiple plants.
- C. Changes in technology.
- D. Multiproducts firm.

Correct Option: D

Page Number(s): 89

Ref Sentence by VU Stars: Economies of scope exist when the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output.

Q#2 Which of the following is correct?

Options:

- A. The short run industry supply curve is the horizontal summation of each firm's short-run supply curve.
- B. The short run industry supply curve is the horizontal summation of each firm's short-run average cost curve.
- C. The short run industry supply curve is the vertical summation of each firm's short-run average cost curve.
- D. The short run industry supply curve is the vertical summation of each firm's short-run supply curve.

Correct Option: A

Page Number(s): 99

Ref Sentence by VU Stars: The short-run industry supply curve is the horizontal summation of the supply curves of the firms.

Q#3 Which of the following measures Economies of scale?

Options:

- A. Slope of Isocost line
- B. cost-output elasticity
- C. Firm's expansion path
- D. Producer surplus

Correct Option: B

Page Number(s): 87

Ref Sentence by VU Stars: E_c = Cost-output elasticity = $\% \Delta$ in cost from a 1% increase in output. $E_c < 1$: $MC < AC$ Average cost indicate decreasing economies of scale.

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Q#4 Ali knows average total cost and average variable cost for a given level of output. Which of the following costs can not be determined from this information?

Options:

- A. Average fixed cost
- B. Variable cost
- C. Marginal Cost
- D. Fixed cost

Correct Option: C

Page Number(s): 79

Ref Sentence by VU Stars: Marginal Cost (MC) is the cost of expanding output by one unit. Since ATC and AVC are known, AFC and total costs can be derived, but marginal cost requires additional information.

Q#5 Which of the following is included in economic depreciation to make it equal to the user cost of capital?

Options:

- A. Interest Rate * Value of Capital
- B. Interest Rate - Value of Capital
- C. Interest Rate / Value of Capital
- D. Interest Rate + Value of Capital

Correct Option: A

Page Number(s): 82

Ref Sentence by VU Stars: User Cost of Capital = Economic Depreciation + (Interest Rate)(Value of Capital).

Q#6 Which of the following costs always increase(s) as output increases?

Options:

- A. Average Fixed Cost
- B. Total Variable cost
- C. Fixed Cost
- D. Average Variable Cost

Correct Option: B

Page Number(s): 78

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Ref Sentence by VU Stars: Fixed Cost does not vary with the level of output whereas Variable Cost is the cost that varies as output varies.

Q#7 The additional revenue from producing one more unit of output is called:

Options:

- A. Marginal revenue
- B. Slope of average revenue
- C. Average revenue
- D. Total revenue

Correct Option: A

Page Number(s): 94

Ref Sentence by VU Stars: Marginal revenue is the additional revenue from producing one more unit of output.

Q#8 In a constant-cost industry, price always equals:

Options:

- A. Minimum LRAC, but not LRMC.
- B. LRMC and minimum LRAC.
- C. LRMC and LRAC, but not necessarily minimum LRAC.
- D. LRAC and minimum LRMC.

Correct Option: B

Page Number(s): 106

Ref Sentence by VU Stars: In a constant-cost industry, long-run is a horizontal line at a price that is equal to the minimum average cost of production.

Q#9 Price ceilings:

Options:

- A. Always increase consumer surplus.
- B. May decrease consumer surplus if demand is sufficiently inelastic.
- C. May decrease consumer surplus if demand is sufficiently elastic.
- D. Always decrease consumer surplus.

Correct Option: B

Page Number(s): 110

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Ref Sentence by VU Stars: Effect of Price Controls When Demand is Inelastic: If demand is sufficiently inelastic, triangle B can be larger than rectangle A and the consumer suffers a net loss from price controls.

Q#10 Suppose automobile company is producing cars and trucks. If there are economies of scope, the product transformation curve between cars and trucks will be:

Options:

- A. Bowed outward (concave).
- B. A straight line.
- C. Bowed inward (convex).
- D. A rectangle.

Correct Option: A

Page Number(s): 89

Ref Sentence by VU Stars: Product transformation curves are negatively sloped. Since the production transformation curve is concave is joint production desirable? (Concave/bowed out indicates economies of scope).

Q#11 A downward-sloping demand curve exists for:

Options:

- A. Both a monopoly and a perfectly competitive firm.
- B. Neither a monopoly nor a perfectly competitive firm.
- C. A monopoly, but not for a perfectly competitive firm.
- D. A perfectly competitive firm, but not for a monopoly.

Correct Option: C

Page Number(s): 96

Ref Sentence by VU Stars: Individual producer sells all units for \$4 regardless of the producer's level of output. If the producer tries to raise price, sales are zero. $P = D = MR = AR$. (Perfectly competitive firm faces horizontal demand curve).

Q#12 Which of the following factors determine the firm's elasticity of demand?

Options:

- A. Number of firms.
- B. Nature of interaction among firms.
- C. Elasticity of market demand.

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D. All of the given options.

Correct Option: D

Page Number(s): 132

Ref Sentence by VU Stars: The firm's elasticity of demand is determined by: 1) Elasticity of market demand, 2) Number of firms, 3) The interaction among firms.

Q#13 In a market with a bilateral monopoly:

Options:

- A. There is a single buyer and a single seller.
- B. There is a single buyer and few sellers.
- C. There are many buyers and a single seller.
- D. There are a few buyers and many sellers.

Correct Option: A

Page Number(s): 138

Ref Sentence by VU Stars: Bilateral monopoly is rare, however, markets with a small number of sellers with monopoly power selling to a market with few buyers with monopsony power is more common.

Q#14 Which of the following is NOT true for monopoly?

Options:

- A. The monopolist's demand curve is the same as the market demand curve.
- B. At the profit maximizing output level, price equals marginal cost.
- C. The profit maximizing output is the one at which marginal revenue is equal to marginal cost.
- D. The profit maximizing output is the one at which the difference between total revenue and total cost is largest.

Correct Option: B

Page Number(s): 126

Ref Sentence by VU Stars: In monopoly, $P > MC$ whereas in perfect competition, $P = MC$.

Q#15 Elasticity of supply is represented by E_s and own price elasticity of demand by E_d , the fraction of the tax passed on to consumers in the form of higher prices is:

Options:

- A. $E_d / (E_d - E_s)$.
- B. $E_d / (E_s - E_d)$.

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C. Es/(Es-Ed).

D. Es/(Ed-Es).

Correct Option: C

Page Number(s): 120

Ref Sentence by VU Stars: PASS-THROUGH FRACTION = $ES/(ES - Ed)$.

Q#16 All of the following factors determine the degree of monopsony power EXCEPT:

Options:

A. Number of buyers in the market

B. Interaction among buyers

C. Elasticity of market demand

D. Elasticity of market supply

Correct Option: C

Page Number(s): 137

Ref Sentence by VU Stars: The degree of monopsony power depends on three similar factors: 1) Elasticity of market supply, 2) Number of buyers, 3) Interaction Among Buyers.

Q#17 Third-degree price discrimination involves:

Options:

A. The use of increasing block rate pricing.

B. Charging different prices to different groups based upon differences in elasticity of demand.

C. Charging each consumer the same two part tariff.

D. Charging lower prices the greater the quantity purchased.

Correct Option: B

Page Number(s): 141

Ref Sentence by VU Stars: Third degree price discrimination divides the market into two-groups. Each group has its own demand function. Third-degree price discrimination is feasible when the seller can separate his/her market into groups who have different price elasticities of demand.

Q#18 The monopolist has no supply curve because:

Options:

A. The monopolist's marginal cost curve changes considerably over time.

B. There is a single seller in the market.

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C. The relationship between price and quantity depends on both marginal cost and average cost.

D. The quantity supplied at any particular price depends on the monopolist's demand curve.

Correct Option: D

Page Number(s): 128

Ref Sentence by VU Stars: A monopolistic market has no supply curve. Monopolist may supply many different quantities at the same price. Monopolist may supply the same quantity at different prices.

Q#19 Which of the following is unlikely to occur as a result of a price support program?

Options:

A. An increase in quantity purchased.

B. An economic cost to government.

C. A reduction in consumer surplus.

D. A reduction in producer surplus.

Correct Option: D

Page Number(s): 115

Ref Sentence by VU Stars: To maintain a price P_s the government buys quantity Q_g . The change in consumer surplus = $-A - B$, and the change in producer surplus is $A + B + D$.

Q#20 A local restaurant offers "early bird" price discounts for dinners ordered from 4:30 to 6:30 PM.

This is an example of:

Options:

A. Tying.

B. Peak-load pricing.

C. Second-degree price discrimination.

D. A two-part tariff.

Correct Option: B

Page Number(s): 145

Ref Sentence by VU Stars: Peak-load pricing: Demand for some products may peak at particular times.

Rush hour traffic, Electricity - summer season, Restaurants on weekends.

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Q#1 Which of the following costs always increase(s) as output increases?

Options:

- A. Average Fixed Cost
- B. Average Variable Cost
- C. Total Variable cost
- D. Fixed Cost

Correct Option: C

Page Number(s): 78

Ref Sentence by VU Stars: Fixed Cost does not vary with the level of output whereas Variable Cost is the cost that varies as output varies.

Q#2 The long-run supply curve of a decreasing cost industry is:

Options:

- A. Horizontal.
- B. Vertical.
- C. Downward sloping.
- D. Upward sloping.

Correct Option: C

Page Number(s): 107

Ref Sentence by VU Stars: In a decreasing-cost industry, long-run supply curve is downward sloping.

Q#3 Which of the following is correct?

Options:

- A. The short run industry supply curve is the vertical summation of each firm's short-run average cost curve.
- B. The short run industry supply curve is the horizontal summation of each firm's short-run average cost curve.
- C. The short run industry supply curve is the vertical summation of each firm's short-run supply curve.
- D. The short run industry supply curve is the horizontal summation of each firm's short-run supply curve.

Correct Option: D

Page Number(s): 99

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Ref Sentence by VU Stars: The short-run industry supply curve is the horizontal summation of the supply curves of the firms.

Q#4 The ratio of the wage rate to rental cost of capital is called:

Options:

- A. Slope of indifference curve
- B. Slope of isoquant
- C. Slope of production function
- D. Slope of isocost

Correct Option: D

Page Number(s): 82

Ref Sentence by VU Stars: Slope of the Isocost is the ratio of the wage rate to rental cost of capital.

Q#5 Producer surplus is measured as the:

Options:

- A. Area under the demand curve above market price.
- B. Entire area under the supply curve.
- C. Area under the demand curve above the supply curve.
- D. Area above the supply curve up to the market price.

Correct Option: D

Page Number(s): 101-102

Ref Sentence by VU Stars: The producer surplus is the sum over all units produced of the difference between the market price of the good and the marginal cost of production.

Q#6 Cost-output elasticity can be calculated as:

Options:

- A. $(AC)^2(MC)$
- B. AC/MC
- C. MC/AC
- D. $(AC)(MC)$

Correct Option: C

Page Number(s): 87

Ref Sentence by VU Stars: $E_c = \text{Cost-output elasticity} = \% \Delta \text{ in cost from a } 1\% \text{ increase in output.}$

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Q#7 Suppose automobile company is producing cars and trucks. If there are economies of scope, the product transformation curve between cars and trucks will be:

Options:

- A. Bowed outward (concave).
- B. Bowed inward (convex).
- C. A straight line.
- D. A rectangle.

Correct Option: A

Page Number(s): 89

Ref Sentence by VU Stars: Product transformation curves are negatively sloped. Since the production transformation curve is concave is joint production desirable?

Q#8 When the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output is called as:

Options:

- A. Diseconomies of scale
- B. Economies of scale
- C. Diseconomies of scope
- D. Economies of scope

Correct Option: D

Page Number(s): 89

Ref Sentence by VU Stars: Economies of scope exist when the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output.

Q#9 All of the following are characteristics of perfectly competitive markets EXCEPT:

Options:

- A. There are large numbers of firms.
- B. There are no significant barriers on entry and exit of firms.
- C. Firms are price taker.
- D. Firms are not producing homogenous products.

Correct Option: D

Page Number(s): 93

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Ref Sentence by VU Stars: CHARACTERISTICS OF PERFECTLY COMPETITIVE MARKETS: 1) Price taking, 2) Product homogeneity, 3) Free entry and exit.

Q#10 The benefit of a subsidy accrues mostly to producers:

Options:

- A. In every instance.
- B. If E_d/E_s is small.
- C. If E_d and E_s are equal.
- D. If E_d/E_s is large.

Correct Option: D

Page Number(s): 121

Ref Sentence by VU Stars: The benefit of the subsidy depends upon E_d/E_s . If the ratio is small, most of the benefit accrues to the consumer. If the ratio is large, the producer benefits most.

Q#11 When a product transformation curve is bowed out, there will be _____ in production.

Options:

- A. Economies of scale
- B. Diseconomies of scale
- C. Diseconomies of scope
- D. Economies of scope

Correct Option: D

Page Number(s): 89

Ref Sentence by VU Stars: Since the production transformation curve is concave is joint production desirable? (Concave/bowed out indicates economies of scope).

Q#12 Suppose total revenue of a monopolist increases from Rs.105 to Rs.108 as a result of increase in output from 3 units to 4 units. The marginal revenue for the 4th unit will be:

Options:

- A. 4
- B. 8
- C. 3
- D. 2

Correct Option: C

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Page Number(s): 123

Ref Sentence by VU Stars: Marginal revenue is the additional revenue from producing one more unit of output.

Q#13 In the long run under perfect competition a firm produces at a point where:

Options:

- A. Price is greater than long run average cost
- B. Price is less than long run average cost
- C. Price is greater than long run marginal cost
- D. Price is equal to long run average cost

Correct Option: D

Page Number(s): 104

Ref Sentence by VU Stars: LONG-RUN COMPETITIVE EQUILIBRIUM: 1) $MC = MR$, 2) $P = LAC$, 3) Profit = 0.

Q#14 All of the following options are true for monopoly EXCEPT?

Options:

- A. The profit maximizing output is the one at which marginal revenue and marginal cost are equal.
- B. The profit maximizing output is the one at which the difference between total revenue and total cost is largest.
- C. At the profit maximizing output, price equals marginal cost.
- D. The monopolist's demand curve is the same as the market demand curve.

Correct Option: C

Page Number(s): 126

Ref Sentence by VU Stars: In monopoly, $P > MC$ whereas in perfect competition, $P = MC$.

Q#15 In the long run, which of the following is considered a variable cost?

Options:

- A. All of the given options.
- B. Expenditures for raw materials.
- C. Expenditures for capital machinery and equipment.
- D. Expenditures for wages.

Correct Option: A

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Page Number(s): 69

Ref Sentence by VU Stars: Long-run is the amount of time needed to make all production inputs variable.

Q#16 Average revenue for a monopolist is:

Options:

- A. Equal to marginal revenue.
- B. Greater than marginal revenue.
- C. Less than marginal revenue.
- D. Greater than price.

Correct Option: B

Page Number(s): 123

Ref Sentence by VU Stars: OBSERVATIONS: 1) To increase sales the price must fall, 2) $MR < P$, 3)

Compared to perfect competition: No change in price to change sales, $MR = P$.

Q#17 Due to imposition of a specific tax per unit on a product imposed by the government, consumer surplus will _____ and producer surplus will _____.

Options:

- A. Increase; increase
- B. Decrease; increase
- C. Decrease; decrease
- D. Increase; decrease

Correct Option: C

Page Number(s): 120

Ref Sentence by VU Stars: Buyers lose A + B, and sellers lose D + C.

Q#18 With respect to monopolies, deadweight loss refers to the:

Options:

- A. None of the given options.
- B. Lost consumer surplus from monopolistic pricing.
- C. Net loss in consumer and producer surplus due to a monopolist's pricing strategy/policy.
- D. Socially unproductive amounts of money spent to obtain or acquire a monopoly

Correct Option: C

Page Number(s): 133

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Ref Sentence by VU Stars: Deadweight loss from monopoly power: Because of the higher price, consumers lose A+B and producer gains A-C.

Q#19 Which of the following factors determine the firm's elasticity of demand?

Options:

- A. Elasticity of market demand.
- B. Number of firms.
- C. Nature of interaction among firms.
- D. All of the given options.

Correct Option: D

Page Number(s): 132

Ref Sentence by VU Stars: The firm's elasticity of demand is determined by: 1) Elasticity of market demand, 2) Number of firms, 3) The interaction among firms.

Q#20 The monopolist that maximizes profit:

Options:

- A. Does not impose a cost on society because the selling price is above marginal cost.
- B. Imposes a cost on society because the selling price is above marginal cost.
- C. Does not impose a cost on society because price is equal to marginal cost.
- D. Imposes a cost on society because the selling price is equal to marginal cost.

Correct Option: B

Page Number(s): 133

Ref Sentence by VU Stars: Monopoly power results in higher prices and lower quantities. However, does monopoly power make consumers and producers in the aggregate better or worse off? Deadweight loss from monopoly power.

Q#21 Which of the following is correct?

Options:

- A. Average fixed cost
- B. Marginal Cost
- C. Variable cost
- D. Fixed cost

Correct Option: B (Google)

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Page Number(s): Not found in handouts

Ref Sentence by VU Stars: The question is incomplete as it does not specify what is being asked about these cost concepts. Without a complete question, the correct option cannot be determined from the handouts.

Q#22 Which of the following is unlikely to occur as a result of a price support program?

Options:

- A. A reduction in consumer surplus.
- B. An economic cost to government.
- C. An increase in quantity purchased.
- D. A reduction in producer surplus.

Correct Option: D

Page Number(s): 115

Ref Sentence by VU Stars: To maintain a price P_s the government buys quantity Q_g . The change in consumer surplus = $-A - B$, and the change in producer surplus is $A + B + D$.

Q#23 Imposition of an output tax on all firms in a competitive industry will result in:

Options:

- A. The entry of new firms into the industry.
- B. A leftward shift in the market supply curve.
- C. A downward shift in each firm's marginal cost curve.
- D. A downward shift in each firm's average cost curve.

Correct Option: B

Page Number(s): 109

Ref Sentence by VU Stars: Tax shifts S_1 to S_2 and output falls to Q_2 . Price increases to P_2 .

Q#24 Suppose output of two automobile firms, one is producing cars and other is producing trucks, is greater than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

Options:

- A. Diseconomies of scope.
- B. Decreasing returns to scale.
- C. Economies of scale.
- D. Increasing returns to scale.

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Correct Option: A

Page Number(s): 89-90

Ref Sentence by VU Stars: Economies of scope exist when the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output. If joint output is less, it indicates diseconomies of scope.

Q#25 An electric power company uses block pricing for electricity sales. Block pricing is an example of:

Options:

- A. Third-degree price discrimination.
- B. Second-degree price discrimination.
- C. Block pricing is not a type of price discrimination.
- D. First-degree price discrimination.

Correct Option: B

Page Number(s): 140

Ref Sentence by VU Stars: Second-degree price discrimination is pricing according to quantity consumed-- or in blocks.

Q#26 The sum over all units produced of the difference between market price of the good and firm's marginal cost of production is:

Options:

- A. Maximum profit.
- B. Marginal revenue.
- C. Producer surplus.
- D. Total revenue.

Correct Option: C

Page Number(s): 101-102

Ref Sentence by VU Stars: The producer surplus is the sum over all units produced of the difference between the market price of the good and the marginal cost of production.

Q#27 Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

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Options:

- A. Increasing returns to scale.
- B. Economies of scope.
- C. Economies of scale.
- D. Decreasing returns to scale

Correct Option: B

Page Number(s): 89

Ref Sentence by VU Stars: Economies of scope exist when the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output.

Q#28 Which of the following is NOT true for monopoly?

Options:

- A. The profit maximizing output is the one at which marginal revenue is equal to marginal cost.
- B. The monopolist's demand curve is the same as the market demand curve.
- C. The profit maximizing output is the one at which the difference between total revenue and total cost is largest.
- D. At the profit maximizing output level, price equals marginal cost.

Correct Option: D

Page Number(s): 126

Ref Sentence by VU Stars: In monopoly, $P > MC$ whereas in perfect competition, $P = MC$.

Q#29 Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

Options:

- A. In cases of positive externalities only.
- B. In cases of negative externalities only.
- C. In cases of both positive and negative externalities.
- D. At no time; competitive markets are always efficient without government intervention.

Correct Option: C

Page Number(s): 111

Ref Sentence by VU Stars: Externalities: Costs or benefits that do not show up as part of the market price (e.g. pollution). Government intervention in these markets can increase efficiency.

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Q#30 Industry supply curve in short-run is horizontal summation of:

Options:

- A. Marginal transformation curves.
- B. Short-run marginal cost curves.
- C. Short-run average cost curves.
- D. Short-run total cost curves.

Correct Option: B

Page Number(s): 99

Ref Sentence by VU Stars: The short-run industry supply curve is the horizontal summation of the supply curves of the firms. (Supply curve is the MC curve above AVC).

Q#31 Ali knows average total cost and average variable cost for a given level of output. Which of the following costs can not be determined from this information?

Options:

- A. Marginal Cost
- B. Variable cost
- C. Fixed cost
- D. Average fixed cost

Correct Option: A

Page Number(s): 79

Ref Sentence by VU Stars: Marginal Cost (MC) is the cost of expanding output by one unit. Since ATC and AVC are known, AFC and total costs can be derived, but marginal cost requires additional information.

Q#32 The benefit of a subsidy accrues mostly to consumers:

Options:

- A. If E_d/E_s is small.
- B. In every instance.
- C. If E_d and E_s are equal.
- D. If E_d/E_s is large.

Correct Option: A

Page Number(s): 121

Ref Sentence by VU Stars: The benefit of the subsidy depends upon E_d/E_s . If the ratio is small, most of the benefit accrues to the consumer. If the ratio is large, the producer benefits most.

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Q#33 Most of the burden of a tax per unit of output will be borne by consumers when demand is relatively _____ and supply is relatively _____.

Options:

- A. Inelastic; inelastic
- B. Inelastic; elastic
- C. Elastic; inelastic
- D. Elastic; elastic

Correct Option: B

Page Number(s): 120

Ref Sentence by VU Stars: Impact of Tax Depends on Elasticities of Supply & Demand. Burden on Buyer is greater when demand is inelastic and supply is elastic.

Q#34 The producer surplus for a market can be measured as:

Options:

- A. Area under the supply curve to the left of equilibrium output.
- B. Area between the equilibrium price line and the supply curve to the left of equilibrium output.
- C. Vertical intercept of the supply curve.
- D. Area under the demand curve to the left of equilibrium output.

Correct Option: B

Page Number(s): 102

Ref Sentence by VU Stars: Market producer surplus is the difference between P^* and S from 0 to Q^* .

Q#35 In the long run, if a firm is facing higher average cost than the marginal cost; then certainly per unit total cost will:

Options:

- A. Be at minimum level
- B. Remain constant
- C. Fall
- D. Rise

Correct Option: C

Page Number(s): 86

Ref Sentence by VU Stars: If $LMC < LAC$, LAC will fall.

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Q#36 The monopolist has no supply curve because:

Options:

- A. The monopolist's marginal cost curve changes considerably over time.
- B. The relationship between price and quantity depends on both marginal cost and average cost.
- C. The quantity supplied at any particular price depends on the monopolist's demand curve.
- D. There is a single seller in the market.

Correct Option: C

Page Number(s): 128

Ref Sentence by VU Stars: A monopolistic market has no supply curve. Monopolist may supply many different quantities at the same price. Monopolist may supply the same quantity at different prices.

Q#37 When government imposes per unit tax on the output level produced by a monopolist, the resulting price increase will:

Options:

- A. Always be less than the tax.
- B. Always be more than the tax.
- C. Not always be less than the tax.
- D. Always be less than if a similar tax were imposed on firms in a competitive market.

Correct Option: C

Page Number(s): 128

Ref Sentence by VU Stars: Under monopoly price can sometimes rise by more than the amount of the tax.

Q#38 Government intervention without market failure creates:

Options:

- A. Efficiency
- B. Inefficiency
- C. Economies of scope
- D. Economies of scale

Correct Option: B

Page Number(s): 111

Ref Sentence by VU Stars: Government intervention without a market failure creates inefficiency or deadweight loss.

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Q#39 Monopoly power explains the firm's ability to:

Options:

- A. Set price above marginal cost.
- B. Equate marginal cost to marginal revenue.
- C. Set price equal to marginal cost.
- D. Set price above average variable cost.

Correct Option: A

Page Number(s): 130-131

Ref Sentence by VU Stars: Monopoly power: $P > MC$. Lerner's Index of Monopoly Power $L = (P - MC)/P$.

Q#40 Which of the following measures the degree of economies of scope (SC)?

Options:

- A. $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1)$
- B. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1)$
- C. $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$
- D. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$

Correct Option: C

Page Number(s): 89-90

Ref Sentence by VU Stars: The degree of economies of scope measures the savings in cost and can be written: $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$.

Q#41 Which of the following is NOT associated with a high degree of monopoly power?

Options:

- A. A small number of firms in the market.
- B. Significant barriers to entry.
- C. Significant price competition among firms in the market.
- D. A relatively inelastic demand curve for the firm.

Correct Option: C

Page Number(s): 132

Ref Sentence by VU Stars: The firm's elasticity of demand is determined by: 1) Elasticity of market demand, 2) Number of firms, 3) The interaction among firms.

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Q#42 Due to imposition of a specific tax per unit on a product imposed by the government, consumer surplus will _____ and producer surplus will _____.

Options:

- A. Increase; increase
- B. Decrease; increase
- C. Decrease; decrease
- D. Increase; decrease

Correct Option: C

Page Number(s): 120

Ref Sentence by VU Stars: Buyers lose A + B, and sellers lose D + C.

Q#43 The long-run supply curve of an increasing cost industry is:

Options:

- A. Horizontal.
- B. Upward sloping.
- C. Downward sloping.
- D. Vertical.

Correct Option: B

Page Number(s): 106

Ref Sentence by VU Stars: In an increasing-cost industry, long-run supply curve is upward sloping.

Q#44 The supply curve for a competitive firm is:

Options:

- A. The upward-sloping portion of its MC curve.
- B. Its MC curve above the minimum point of the ATC curve.
- C. Its entire MC curve.
- D. Its MC curve above the minimum point of the AVC curve.

Correct Option: D

Page Number(s): 98

Ref Sentence by VU Stars: Supply is the amount of output for every possible price. Supply is upward sloping due to diminishing returns. The firm chooses the output level where $MR = MC$, as long as the firm is able to cover its variable cost of production.

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Q#45 A firm never operates:

Options:

- A. On the downward-sloping portion of its ATC curve.
- B. At the minimum of its ATC curve.
- C. On the downward-sloping portion of its AVC curve.
- D. At the minimum of its AVC curve.

Correct Option: C

Page Number(s): 81

Ref Sentence by VU Stars: When $MC < AVC$ or $MC < ATC$, AVC & ATC decrease. The firm will produce where $MC = MR$. If price is below AVC , the firm should shut down.

Q#46 A firm in a perfectly competitive market can not affect market price by changing the amount of output because:

Options:

- A. The firm's output is a small fraction of the entire industry's output.
- B. The market price is determined (through regulation) by the government.
- C. The short run market price is determined solely by the firm's technology.
- D. The firm supplies a different good than its rivals.

Correct Option: A

Page Number(s): 93

Ref Sentence by VU Stars: The individual firm sells a very small share of the total market output and, therefore, cannot influence market price.

Q#47 Which of the following measures Economies of scale?

Options:

- A. cost-output elasticity
- B. Firm's expansion path
- C. Producer surplus
- D. Slope of Isocost line

Correct Option: A

Page Number(s): 87

Ref Sentence by VU Stars: $EC = \text{Cost-output elasticity} = \frac{\% \Delta \text{ in cost}}{\% \Delta \text{ in output}}$. $EC < 1$: $MC < AC$ Average cost indicate decreasing economies of scale.

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Q#48 In the long run, if a firm is facing higher marginal cost than the average cost; then certainly per unit total cost will:

Options:

- A. Rise
- B. Fall
- C. Remain constant
- D. Be at minimum level

Correct Option: A

Page Number(s): 86

Ref Sentence by VU Stars: If $LMC > LAC$, LAC will rise.

Q#49 Price ceilings:

Options:

- A. Always decrease consumer surplus.
- B. May decrease consumer surplus if demand is sufficiently inelastic.
- C. May decrease consumer surplus if demand is sufficiently elastic.
- D. Always increase consumer surplus.

Correct Option: B

Page Number(s): 110

Ref Sentence by VU Stars: Effect of Price Controls When Demand is Inelastic: If demand is sufficiently inelastic, triangle B can be larger than rectangle A and the consumer suffers a net loss from price controls.

Q#50 Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

Options:

- A. Economies of scale.
- B. Increasing returns to scale.
- C. Economies of scope.
- D. Decreasing returns to scale.

Correct Option: C

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Ref Sentence by VU Stars: Economies of scope exist when the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output.

Q#51 At equilibrium, monopolist will charge a _____ price and sell a _____ quantity as compared to perfectly competitive firm.

Options:

- A. Lower; larger
- B. Higher; larger
- C. Higher; smaller
- D. Lower; smaller

Correct Option: C

Page Number(s): 133

Ref Sentence by VU Stars: Monopoly power results in higher prices and lower quantities.

Q#52 All of the following factors determine the degree of monopsony power EXCEPT:

Options:

- A. Interaction among buyers
- B. Elasticity of market demand
- C. Number of buyers in the market
- D. Elasticity of market supply

Correct Option: B

Page Number(s): 137

Ref Sentence by VU Stars: The degree of monopsony power depends on three similar factors: 1) Elasticity of market supply, 2) Number of buyers, 3) Interaction Among Buyers.

Q#53 Which of the following is not an example of joint production?

Options:

- A. Automobile company--cars and trucks
- B. textile industry—garments and shoes
- C. University--Teaching and research
- D. Chicken farm--poultry and eggs

Correct Option: B

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Ref Sentence by VU Stars: Examples of joint production: Chicken farm--poultry and eggs, Automobile company--cars and trucks, University--Teaching and research.

Q#54 Revenue is equal to:

Options:

- A. Price times quantity minus marginal cost.
- B. Price times quantity minus average cost.
- C. Price times quantity minus total cost.
- D. Price times quantity.

Correct Option: D

Page Number(s): 93

Ref Sentence by VU Stars: Total Revenue (R) = Pq.

Q#55 Suppose Fauji Fertilizer Company Limited spends Rs. 10000 on two inputs, labor (graphed on the horizontal axis) and capital (graphed on the vertical axis) to produce 10 bags of Urea. If the wage rate is Rs. 100 per hour and the rental cost of capital is Rs. 200 per hour, then slope of the Isocost line will be:

Options:

- A. -1/200
- B. -2
- C. 1/2
- D. -200

Correct Option: B

Page Number(s): 82

Ref Sentence by VU Stars: Slope of the Isocost is the ratio of the wage rate to rental cost of capital. $\Delta K/\Delta L = -(w/r) = -(100/200) = -1/2$.

Q#56 The additional revenue from producing one more unit of output is called:

Options:

- A. Average revenue
- B. Marginal revenue
- C. Total revenue
- D. Slope of average revenue

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Correct Option: B

Page Number(s): 94

Ref Sentence by VU Stars: Marginal revenue is the additional revenue from producing one more unit of output.



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